FRANKLIN CRYPTO RESEARCH COMPETITION

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Buying Reliability Before It Is Priced

A fundamental and engineering case for a long position in Solana (SOL), the settlement layer of onchain finance.

AUTHOR: Eli Dubizh

ORGANIZATION: Boiler Blockchain, Purdue University

TRACK: Long, Market Cap Over $250M

CONTACT: ed200419@gmail.com

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Price and fundamentals as of early November 2026. Primary data from Blockworks Research and Allium, the competition research tools, with Anza, Messari, 21Shares, and DeFiLlama. Independent student research. Not investment advice.

1 Executive Summary

We recommend a long position in Solana (SOL) at about $89, a circulating market capitalization near $53B. Over a 12 to 18 month horizon we see roughly 38% downside in the bear case ($55), roughly 80% upside in the base case ($160), and roughly 226% upside in the bull case ($290). The payoff is asymmetric because the market still prices Solana on the two variables that are weak today, memecoin era throughput and fund flows, and has not yet repriced the one variable that structurally changed the asset. Solana now has the best proven reliability of any high throughput chain, and it earned that distinction three weeks before this competition.

Snapshot, early November 2026

METRIC	VALUE	CONTEXT
Price	about $89	roughly 69% below the high of $293
Circulating market cap	about $53B	rank 6 to 7
Annualized network REV	about $303M	rose 48% over the prior quarter
Annualized application revenue	about $1.2B	first across all chains for nine quarters
Stablecoins on Solana	about $16.8B	record high
Base case target	$160	roughly 80% upside, 12 to 18 months

The consensus pitch for Solana is that it is fast and cheap. That pitch is now commoditized, because every new chain is fast and cheap. Our claim is different. In a world where blockspace is abundant, the scarce and value accruing resource is execution quality: uptime, deterministic finality in well under a second, a low rate of failed transactions, and predictable fees. The market already pays a large and explicit premium for exactly this. Hyperliquid, a finalist in the Long over $250M track of this competition last cycle, trades at roughly 27 times protocol revenue precisely because it is fast, never offline, and returns about 99% of its fees to token holders through buybacks. That multiple is the market telling us that execution quality is a priced factor.

On October 21, 2026, Solana replaced its entire consensus engine, the eighteen month Alpenglow upgrade, in a single slot with zero downtime. It was the first time any live network has swapped consensus engines without halting. Finality fell from about 12.8 seconds to a target near 150 milliseconds, under a hardened fault model that tolerates 20% malicious and 20% offline stake at the same time. The upgrade converts Solana's single largest historical liability, seven outages through early 2024, into a measurable strength: close to three years of continuous uptime. Alpenglow is the structural trigger that lets a $53B base layer earn the same execution rerating that a single application already enjoys, at a scale no application can match.

The fundamentals fit the lens this panel grades on. We will not pretend the token is statistically cheap. On raw network revenue it trades near 175 times, which looks expensive. We address that directly: that denominator has broken for every base layer as blockspace became abundant, with Ethereum screening above 1,000 times on the same measure. The denominators that matter, application revenue near 44 times and still accelerating, and the execution rerating, point the other way. You are not buying a cheap token. You are buying a mispriced factor on the one base layer with the scale, the fundamentals, and now the engineering to capture it, at a drawdown of roughly 69%.

2 Project Overview

2.1 What Solana is today

Solana is a single state, high throughput Layer 1 that settles every transaction in one global execution environment rather than fragmenting liquidity across rollups. For most of its life the bull case was performance and the bear case was reliability. In 2026 that framing is obsolete. Throughput is no longer scarce; it is a race toward zero across dozens of chains. What is scarce is a venue that institutions and high value applications can trust to be always on, fast to finality, and cheap to verify. Delphi Digital frames Solana's 2026 upgrade cycle as building a decentralized Nasdaq, an exchange grade environment where an onchain order book can compete with a centralized exchange on latency and fairness. That is the lens that matters, and it is the lens this panel already uses, spanning a tokenized fund issuer, a financial infrastructure fund, and the research firm that defined the network revenue metric.

2.2 The engineering turn: Alpenglow

Alpenglow is the largest change to Solana since launch, and the detail matters because this is an engineering thesis. It replaces the previous consensus, TowerBFT, with two components. Votor is a new voting and finality path built on aggregated signatures and a two round design: a block finalizes in one round at or above 80% participation, and in two rounds at or above 60%. Votes move off the chain, which both collapses finality and frees an estimated 70% of the block space that vote transactions used to consume. Rotor, the propagation layer that will succeed Turbine, is the next stage and is not yet live; we treat it as upside rather than as a claim. The economic redesign is underappreciated: recurring vote fees give way to a burned admission ticket of about 0.8 SOL per epoch, which lowers validator operating costs by roughly 60% and makes the validator set cheaper to join.

The resilience upgrade is the part institutions will weigh most. The new fault model keeps finalizing through 20% actively malicious stake and 20% crashed or offline stake at the same time, a materially stronger guarantee than the old threshold below 33%. The migration itself is the proof. Anza executed an eighteen month build as a single slot swap on live mainnet with zero downtime, the first time any network has replaced its consensus engine without halting, rehearsed across nine full scale migrations and simulations of 1,500 nodes. This is not a roadmap promise a judge must take on faith. It is a dated and verifiable milestone.

The whole argument sits in four numbers. Seven full network halts between December 2020 and February 2024. A last outage on February 6, 2024. Close to three years of continuous uptime since. Finality compressed from about 12.8 seconds to a target near 150 milliseconds through a migration that never took the chain offline. The market still prices the first number. We are underwriting the last three.

2.3 The economic engine

Strip away the narrative and Solana is, by the metrics this competition rewards, the most economically active base layer in crypto. It has led all chains in application revenue for nine consecutive quarters, printed about $299M in the third quarter of 2026, and carries the deepest onchain stablecoin base outside Ethereum and Tron at a record near $16.8B. Network revenue, the Blockworks measure of fees plus validator tips, fell about 87% as the 2024 and 2025 memecoin cycle

unwound, and then rose 48% over the prior quarter in the third quarter of 2026, its first increase in six quarters. That inflection, off a washed out base, is the signal that the franchise is broadening beyond speculation into payments, decentralized finance, and tokenized assets.

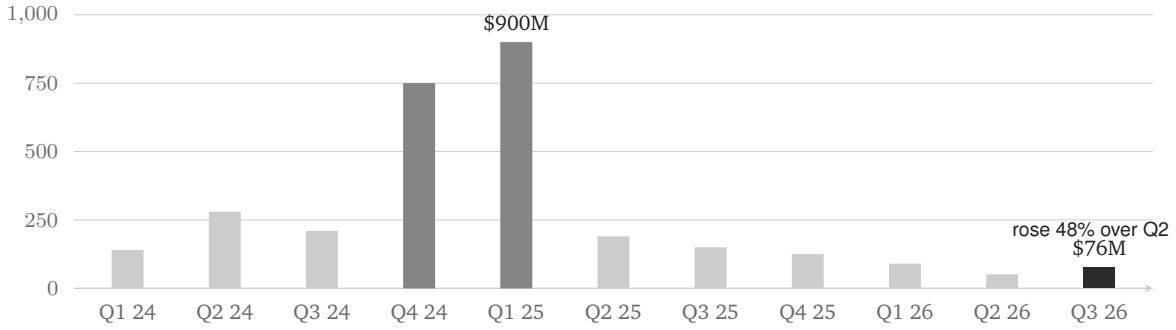


Figure 1. Solana quarterly network revenue, fees plus validator tips, in USD millions. The memecoin boom, the washout, and the third quarter 2026 inflection. Source: Blockworks Research.

The revenue is spread across real applications rather than a single venue: the dominant swap router, the broader exchange complex that has out traded Ethereum in monthly volume since late 2024, consumer applications, and fast growing stablecoin payments and tokenized equity volume. Daily active addresses average about 2.3 million. The point is not that any one application is irreplaceable. It is that demand is broad, which is what makes a base layer position more durable than a bet on any single application.

2.4 Token and value accrual

Solana has about 590 million tokens circulating out of roughly 636 million total. Issuance runs near 3.6% and declines 15% per year toward a floor of 1.5%, while about 68% of supply is staked, close to $38B of economic security at a gross yield near 5 to 6%. Value reaches the token three ways: base and priority fees plus validator tips paid to stakers, a protocol burn on fees, and the staking yield itself, now positive in real terms for most validators after the Alpenglow cost reduction. Demand is structurally new. Spot exchange traded funds are live and enabled for staking, including products from Franklin Templeton and Bitwise, holding more than $1.3B and growing. Against issuance near 3.6%, the combination of fund demand, staking, and treasury accumulation is removing float faster than the chain mints it.

2.5 Catalysts and risks

Catalysts.

- A reliability rerating as the zero outage record compounds after the migration.
- Rising Firedancer stake share, which directly addresses client concentration.
- Turning fund flows, since a staking yield makes a Solana fund structurally more attractive than a Bitcoin or Ethereum fund.
- Tokenized equities and real world assets, including Franklin’s own money market fund, which already settles on Solana.
- The Rotor propagation upgrade, which adds bandwidth and further decentralization.

Risks and mitigants.

- Rich on network revenue. It is the wrong denominator in abundant blockspace, and application revenue near 44 times is reaccelerating.
- Client concentration. Firedancer is live and climbing, a dated fix rather than a hope.
- Geographic concentration of stake, close to 59% across Germany, the Netherlands, and the United States. We flag this as a genuine open risk.
- Near term price and flow weakness. An entry roughly 69% below the prior high already discounts it.
- Execution risk on sustained 150 millisecond finality and on Rotor. The thesis needs the step change, not the asymptote.

3 Investment Proposal

Position: long Solana. Entry near $89. Horizon: 12 to 18 months. Base case exit near $160. The thesis resolves as the market rerates Solana from a high beta, memecoin driven Layer 1 into an execution grade settlement layer, while application revenue compounds and net float shrinks.

3.1 Valuation, three lenses that converge

First, reframe the multiple. We concede the token is not cheap on network revenue, near 175 times. But that metric has broken for every base layer as blockspace became abundant; Ethereum screens above 1,000 times on the same denominator. The economically meaningful multiple is price to application revenue, where Solana trades near 44 times on about $1.2B annualized and is growing, against a shrinking base elsewhere. Second, price the factor. The market pays about 27 times revenue for Hyperliquid's execution quality; Alpenglow qualifies Solana for the same factor at base layer scale and far greater diversification. Third, weigh supply and demand. Staking enabled funds, treasury accumulation, and roughly 68% of supply staked are removing float faster than issuance near 3.6% adds it.

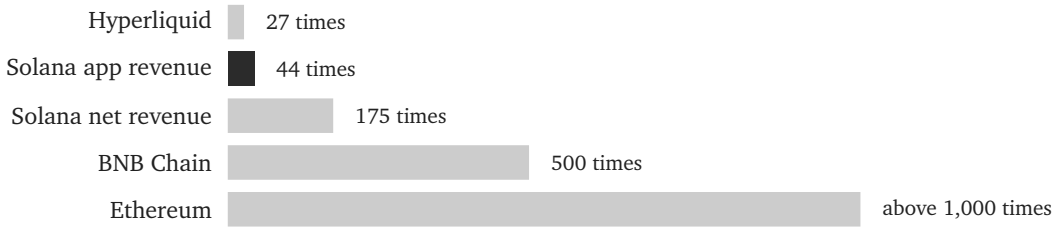


Figure 2. Price to annualized revenue by chain. Network revenue for the base layers, protocol revenue for Hyperliquid. Lower is cheaper. Source: Blockworks Research and DeFiLlama.

3.2 Scenario price targets

SCENARIO	TARGET	IMPLIED CAP	RETURN	WHAT MUST BE TRUE
Bear	$55	about $33B	38% downside	Revenue recovery stalls, fund outflows persist, decentralization slips, a risk off market.
Base	$160	about $95B	80% upside	Application revenue compounds 20 to 30%, the reliability rerating begins, fund assets grow, a modest multiple expansion.
Bull	$290	about $172B	226% upside	Solana becomes the default settlement venue for stablecoins and tokenized assets, the execution factor is fully priced, fund and treasury demand overwhelm issuance.

A probability weighting of 25, 50, and 25% across the three cases implies an expected value near $166, about 87% above the entry near $89. The payoff is positively skewed, with the downside already discounted by the decline of roughly 69% from the prior high.

3.3 Why this is the trade, not merely the token

The consensus pitch, price and throughput and fund flows, is weak right now, which is the opportunity, because the market is watching lagging variables. Reliability and execution quality are the variables that rerate assets. The market proved it with Hyperliquid, and they inflected for Solana on October 21. We are positioned in front of the rerating rather than behind it.

4 Conclusion

Solana spent four years being judged on the thing it did worst, staying online. On October 21, 2026 it retired that liability in a single slot, and in doing so it changed what kind of asset it is: from a high beta throughput bet into the only base layer at $50B scale that can credibly claim exchange grade reliability and finality in well under a second. The market has not repriced that, because it is still watching memecoin revenue and fund flows, both near cyclical lows, rather than the variable that actually drives revaluations.

We know the market pays for execution quality because it already does. Hyperliquid earns about 27 times revenue for being fast and never offline. Alpenglow makes the same case for Solana, but on a franchise with nine consecutive quarters of leading application revenue, a record stablecoin base, a freshly inflecting revenue line, and structural fund and staking demand that is shrinking its float. Buying near $89, roughly 69% below the prior high and three weeks after the catalyst, is buying a mispriced factor with the downside already discounted.

Recommendation: long Solana over a 12 to 18 month horizon. Base target $160, roughly 80% upside. Bull target $290. Bear target $55. The reliability is proven. The rerating is not yet priced. That gap is the trade.

Appendix

Valuation comparables, November 2026

CHAIN	CAP	ANNUAL REV	PRICE / REV	STABLECOINS
Solana	$53B	$0.30B	about 175 times	$16.8B
Ethereum	$280B	about $0.26B	above 1,000 times	$137B
BNB Chain	$95B	about $0.18B	about 500 times	$13.8B
TRON	$31B	about $0.30B	about 100 times	$89B
Hyperliquid	about $19B	about $0.70B	about 27 times	$6.4B

Hyperliquid uses protocol revenue, the metric its token captures through buybacks, which is the correct lens for an application chain and for the execution comparison. The base layer rows use network revenue, fees plus validator tips. On an application revenue basis Solana trades near 44 times. Source: Blockworks Research and DeFiLlama.

Alpenglow, before and after

DIMENSION	BEFORE	AFTER
Consensus	TowerBFT	Votor
Finality	about 12.8 seconds	target near 150 milliseconds
Fault model	below 33%	20% plus 20%
Votes	on the chain	off the chain
Validator cost	baseline	about 60% lower
Uptime	seven halts	continuous for about three years

Live on mainnet on October 21, 2026, at epoch 1064, slot 459,653,000. Rotor, the propagation layer, is still pending and is treated as upside. Live finality measured near 430 milliseconds in October 2026. Source: Anza, Messari, Helius.

Data note. Network revenue, application revenue, stablecoin supply, exchange volume, and market capitalization are drawn from the Blockworks Research blockchains dataset, the competition tool, where network revenue equals base fees plus priority fees plus validator tips. Figures are cross checked against the Blockworks Solana third quarter 2026 report and 21Shares. Annualized figures use the third quarter 2026 run rate multiplied by four. Price and market cap are as of early November 2026.

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